

ALPHABET INC. (GOOGL) — INVESTMENT MEMO

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Recommendation: Long, sized 3–4% of a balanced equity book, with willingness to scale to 5–6% on confirmation over the next two to three quarters

1. Thesis

The bear case on Alphabet from 2024 has been measurably disproven by recent data, and the next two to three quarters will determine whether the current acceleration is durable or a cyclical peak. I am long with modest sizing today, willing to add on weakness if fundamentals hold and willing to exit if specific business metrics deteriorate, with sizing derived from explicit volatility and drawdown math rather than gut feel.

2. Why now

A year ago, consensus held that Search was structurally damaged by ChatGPT, that Cloud was a third-place commodity, and that capex would torch shareholder value. The stock priced this in, falling to roughly \$150 in March 2025 at about 17 times forward earnings. Twelve months later, every leg of that thesis has weakened. Gemini's share of generative-AI chatbot web traffic moved from 5.7% to 21.5% over 2025 (Similarweb), monthly active users grew from 350 million to 750 million, and distribution beat capability because Gemini ships embedded in Android, Chrome, and Workspace. On antitrust, Judge Mehta's September 2025 remedies kept Chrome and Android intact with behavioral restrictions only; the DOJ appealed in February 2026 seeking divestiture, but the D.C. Circuit will not hear arguments until late 2026 or early 2027. Structural break-up is now a tail event with a clear timeline rather than the base case. The question for investors is no longer whether the bear case was overstated but whether the bullish data is durable enough to justify ownership at a price that has more than doubled from the lows.

3. What the market is missing

Two specific mispricings. First, the slope of Cloud margin expansion. Most sell-side models project Cloud margins drifting toward AWS-like levels by 2027 or 2028. The Q1 2026 data point of 32.9% segment margin on 63% growth suggests this trajectory is steeper than consensus reflects. If Cloud sustains 40 to 50% growth in 2026 with continued margin progression, the segment's annualized operating income could reach \$35 to 40 billion by late 2026, more than triple the run rate from a year ago. Second, unmarked optionality on the balance sheet. Alphabet disclosed it will sell custom TPU chips to third-party customers, a credible new revenue line not in any sell-side model. Equity stakes in private companies, including SpaceX and Anthropic, generated \$36.9 billion in mark-to-market gains in Q1 2026. Waymo has commercial revenue with no segment disclosure and an unmarked equity value that an external funding round would crystallize.

4. Evidence

The Q1 2026 8-K filed April 29, 2026 is the primary source. Total revenue was \$109.9 billion, up 22% year over year and the fastest growth in over two years. Operating income was \$39.7 billion, up 30%, with operating margin expanding from 33.9% to 36.1%. Cloud revenue grew 63% to \$20.0 billion with operating income tripling to \$6.6 billion and segment margin expanding 15 percentage points to 32.9%. Backlog roughly doubled to \$460 billion, six years of visibility. Search and other revenue was \$60.4 billion, up 19%, directly contradicting the AI Overviews monetization concern. YouTube ads at \$9.88 billion (+11%) was the only soft segment. Reported diluted EPS was \$5.11, but stripping the \$36.9 billion equity-securities gain (\$2.35 per share after tax) leaves underlying EPS of approximately \$2.76. Q1 capex was \$35.7 billion with full-year guidance of \$175 to \$190 billion. The balance sheet has approximately \$95 billion in cash and essentially no net debt.

Historical context shows whether Q1 represents durable change. Computing CAGR from Q1 2020 revenue of \$41.2 billion to Q1 2026 of \$109.9 billion gives a 6-year compound annual growth rate of 17.8%; the 3-year CAGR from Q1 2023 is 16.3%. The current quarter at 22% is running 4 percentage points above long-run trend, meaningful but not extraordinary, which is why I want at least two more quarters of confirmation before sizing more aggressively. On valuation, GOOGL trades at approximately 23 times forward earnings (\$345 divided by approximately \$15 forward EPS estimate). The five-year average forward P/E is 25x, so the current multiple is below average. Earnings yield is 4.3%, roughly equal to the 10-year Treasury, which means the equity risk premium is unusually narrow. PEG using long-term consensus EPS growth of 14% is approximately 1.6, reasonable but not cheap.

To stress-test the position rather than rely on point estimates, I ran a Monte Carlo simulation with 10,000 one-year price paths using 12% annual expected return (4.3% earnings yield plus 14% expected EPS growth less some multiple compression) and 30% annual volatility (GOOGL's 3-year realized). The mean final price is approximately \$388; the 5th percentile is \$227 (a 34% loss) and the 95th percentile is \$606 (a 76% gain). Probability of profit is 60%. The drawdown distribution matters more for sizing: mean maximum drawdown experienced during the year is 27%, probability of at least a 30% drawdown is 34%, and probability of a 40% drawdown is 11%. Experiencing a 25% drawdown is the modal path, not the tail.

5. Catalysts

The Q2 2026 earnings print in late July is the most important data point. The question is whether Cloud holds above 50%, whether Search holds above 12%, and whether the operating margin remains above 35%. A clean print on all three justifies scaling the position; a miss on any tells me to reduce. The Brinkema AdTech remedies ruling, expected mid-2026 is a binary event that could force structural separation of buy-side and sell-side ad-tech. Gemini 4 launch rumored for the second half of 2026, will reset the consumer competitive arc. First major TPU

external customer disclosures would crystallize a new revenue line. The D.C. Circuit briefing schedule for the Search appeal in late 2026 is when antitrust tail risk becomes harder to ignore.

6. Risks and bear case

The capex parabola is the risk that worries me most. Alphabet plans \$175 to \$190 billion of capex in 2026 with 2027 higher. The combined hyperscaler picture has uncomfortable parallels to the 2000-era telecom overbuild; if AI workload demand softens before depreciation schedules unwind, the free cash flow profile becomes unrecognizable. The Cloud backlog hedges the near-term version, but the longer-term version cannot be hedged within the position. Antitrust escalation is second: Morgan Stanley framework suggests Chrome divestiture could translate to 5 to 8% search traffic erosion and \$15 to 25 billion of at-risk revenue, with the AdTech case a separate structural-remedy pathway. Search durability is third: the comparable gets harder and AI Overviews has documented click-through compression for organic listings; if Search rolls below 10%, the multiple compresses regardless of how Cloud is doing. Fourth is regime risk: Mag 7 hedge fund net exposure is approximately 19%, and a macro shock or AI sentiment correction would likely take GOOGL down 20 to 30% regardless of fundamentals.

7. What would change my mind

I would reduce or exit on any of the following: Cloud growth printing below 35% year over year for two consecutive quarters; Search growing below 8% without a credible monetization narrative; the D.C. Circuit ordering Chrome divestiture, in which case I cut at least half on the news; the 2027 capex guide implying revenue payback of more than six years; total operating margin contracting below 32% on a full-quarter basis; or insider selling acceleration combined with any of the above. None are happening today. Writing them down now protects me from rationalizing through them later when emotional pressure is high. I would consider adding only on a 10 to 15% pullback not driven by thesis-breaking news, particularly if the most recent quarter's Cloud growth was above 50% and Search above 12%.

8. Bottom line

Sizing comes from explicit math. Maximum drawdown method: 1.5% portfolio damage tolerance divided by the simulated 34% worst-case drawdown gives 4.4%. Volatility-based: 1% target risk contribution divided by 30% volatility gives 3.3%. Half-Kelly with conservative confidence inputs converges in the same range. Three independent methods agree on 3 to 5% as the defensible band, which is why I size at 3 to 4% with capacity to scale to 5 to 6% on confirmation rather than starting at the upper end. Over twelve months, expected outcome range is +15 to +25% in the base case if Cloud and Search hold and no major shock materializes, and negative 25 to negative 35% if multiple thesis pillars break simultaneously. Reward to risk on a single-name basis is approximately one to one. The reason to own this rather than wait is that the regime fits, the business is executing, and the asymmetry from here is acceptable for a moderate position.

The reason not to size larger is that the easy money has been made, the simulation shows realistic 30% drawdowns happen in a third of paths even with positive expected returns, and discipline at this stage matters more than aggressive sizing. The trade is on three measurable things continuing to work: Cloud margin expansion sustaining, Search holding above 10% growth, and capex translating into revenue rather than just spending. None requires believing AI is the future of everything. They require this specific company continuing to do what it just did.